



DA Market Securities | Daily Market First News Report

Executive Analyst Summary

Market Sentiment: Aggressive Risk-Off / Selective Opportunity. The global landscape is dominated by stagflationary pressures from energy shocks (Brent +12%). However, the PSEi exhibits extraordinary resilience (-0.33%), presenting a high-conviction window for accumulating domestic leaders with active share buybacks and robust cash positions.

Date: July 14, 2026 | **Coverage Period:** July 13 – July 14, 2026

Prepared for: Institutional & Retail Clients



1. Macroeconomic Matrix & Global Overview

The global landscape has shifted into an aggressive risk-off posture following the escalation of U.S.-Iran military exchanges and the subsequent disruption of the Strait of Hormuz.

- **The Energy Inflation Shock:** The imposition of a naval blockade and a 20% security fee on Strait of Hormuz cargo has instantly driven **Brent Crude (+12.04%)** and **WTI Crude (+12.03%)** higher, creating instant global stagflationary pressure.
- **Hawkish Monetary Re-Pricing:** Escalating energy prices are forcing fixed-income markets to price in prolonged hawkishness from the Federal Reserve. This has pushed the **U.S. 10-Year Bond Yield up 15.4 bps to 4.63%**, severely compressing global equity valuation multiples.
- **Global Tech Capitulation:** High-growth segments are bearing the brunt of liquidations. South Korea's **KOSPI plummeted 8.95%**, exacerbated by a 15% single-session crash in semiconductor giant SK Hynix.

Global Market Dashboard

Global Indices	July 13	July 14	% Chg		Commodities & FX	July 13	July 14	% Chg
KOSPI (S. Korea)	7,475.94	6,806.93	-8.95%		Brent Crude (\$/bbl)	76.01	85.16	+12.04%
SHCOMP (China)	3,996.16	3,913.79	-2.06%		WTI Crude (\$/bbl)	71.41	80.00	+12.03%
Nikkei 225 (Japan)	68,557.73	67,242.72	-1.92%		Gold COMEX (\$/oz)	4,113.70	3,998.60	-2.80%
NASDAQ (US)	26,281.61	25,873.19	-1.55%		Copper (¢/lb)	628.20	627.60	-0.10%
S&P 500 (US)	7,575.39	7,515.34	-0.79%		PHL 10yr Bond (%)	7.244%	7.257%	+0.18%
PCOMP (PSEi)	6,286.70	6,265.72	-0.33%		US 10yr Bond (%)	4.560%	4.630%	+1.54%
Dow Jones (US)	52,637.01	52,498.64	-0.26%		USD-PHP	61.633	61.573	-0.10%

2. Philippine Market Focus & Domestic Equity Analysis

PSEi Matrix: 6,265.72 (-0.33%) | **Daily Range:** 6,265.72 - 6,325.97

Volume: 1.15B shares | **Value Turnover:** PHP 16.82B

Foreign Flows: Buying: 2.80B | Selling: 3.47B | **Net Foreign:** (PHP 673M)

Domestic Resilience Analysis:

Despite the global bloodbath, the **PSEi fell a marginal 0.33%**. This extraordinary relative outperformance reveals an underlying structural strength. Market value turnover surged to **PHP 16.82B**, indicating a robust transfer of shares from weak hands to institutional accumulators rather than a thin-volume panic drop. The market successfully absorbed foreign liquidations because domestic conglomerates and key corporate insiders actively initiated defensive actions.

Top Active Stocks (PSE index)

Stock	Price (PHP)	Value (MN)	Stock	Price (PHP)	Value (MN)
ICT	988.00	1,440	BDO	123.00	166
MER	562.00	380	ALI	15.96	161
BPI	102.00	247	PLUS	10.96	136
JFC	146.50	205	PGOLD	38.50	128
BLOOM	2.32	195	SM	588.00	112

3. Sector-Specific Technical Analysis & Recommendations

Infrastructure & Logistics

Local infrastructure networks remain insulated from the structural maritime bottlenecks facing global trade routes.

- **ICT (₱988.00 | +1.39%): [Risk: Medium] Aggressive Accumulation on Dips.** ICT remains the clear champion of the exchange, logging a massive **+₱387M net foreign inflow** and dominating market turnover. Its completed Brazil logistics acquisition provides strong structural support. *Price Target: ₱1,200 (RSI: 64).*

Property & Real Estate

Leechiu Property Consultants and Colliers Philippines note the sector faces a challenging final stretch through 2026, but is rapidly approaching its cyclical bottom.

- **ALI (₱15.96): [Risk: Low] Strong Buy.** Parent company Ayala Corp (AC) intercepted the market by purchasing 3.6M shares at ₱15.46, accompanied by **+₱98M in net foreign inflows**. This provides a rigid institutional safety net.
- **SMPH (₱18.24): [Risk: Low] Defensive Buy.** Backed by direct active corporate share buybacks. The acquisition of Nagtahan Property Holdings optimizes asset alignment under a clean cash layout.
- **CNVRG (₱9.20): [Risk: High] Contrarian Accumulation.** Hovering near its 52-week low of ₱9.10 due to PSEi reconstitution fears. However, a significant institutional net-buy of **+₱57M by foreign funds** flags this as a highly attractive distressed entry point.

Power, Utilities & Telecommunications

Skyrocketing global crude oil prices will force localized re-ratings toward domestic self-reliant and renewable utility networks.

- **MER & SPNEC: [Risk: Medium] Front-Load Weightings.** The prompt launch of [MTerra Solar's power supply injection into the Luzon Grid](#) creates an immediate technical tailwind for SPNEC and Meralco.

- **TEL / VITRO: [Risk: Low] Sector Overweight.** The official filing of PLDT's data-center REIT (VITRO REIT) IPO for up to **₱24.2B** serves as a vital structural pricing catalyst and value-unlock mechanism.

4. Tactical Strategy Playbook

The Asset Allocation Blueprint: Do not chase the global panic. Use this macro-driven drop to aggressively build core long-term positions in companies with active corporate buybacks or heavy insider purchasing.

Macro Catalyst	Defensive Position (Protective)	Offensive Position (Alpha)
Hormuz Naval Blockade / Energy Inflation Shock	Consumer Staples (MONDE, SMFB), Utilities (MER) with pass-through pricing.	Renewable Energy (SPNEC, ACEN), Logistics (ICT) capturing trade shifts.
Hawkish Fed Re-Pricing (US 10Y @ 4.63%)	High-Yield Banks (BDO), Corporate Cash (SM) protecting against valuation compression.	Value Real Estate (ALI, SMPH) leveraging cyclical bottoms and buybacks.

Smart Buys On Dips

- **Conglomerates & Insulated Leaders:** SM, JGS, AC, ICT
- **Property & REITs (Cyclical Bottom Plays):** ALI, SMPH, RCR, MREIT, PLUS
- **Banking Corridors:** BDO, CBC
- **Defensives & Energy Pivot:** MONDE, FGEN, CNPF, ACEN, CNVRG, MAC, TECH, TUGS

Corporate Share Buyback Activity

Management teams are stepping up to defend key price levels with corporate capital:

- **SMPH**
- **SM**
- **FRUIT**

SmartWatch Tuesday Selection

- **Financials:** PNB, CBC

- **Consumer & Industrials:** IMI, JFC (*Accumulate JFC into the low-~~P~~140s*)
- **Real Estate & Conglomerates:** LTG, RLC
- **Blue-chips / High Beta:** ICT, BLOOM, TEL, GLO, ABS, MRC
- **Mining Majors (Sectoral Hedge):** APX, OGP, PX, AT, LC (*Monitor for price follow-through as international metals adjust*)